

UK Customer Funds Protection Policy

v2.6 - October 2024

Owner, Role	Chief Operating Officer
Accountable Executive	Chief Operating Officer
Document Summary	This policy defines the controls and appropriate record keeping standards involved in holding a dedicated E-Money safeguarding account, which relates to customers who have signed up to our prefunding product. The policy also establishes the need to maintain a ring fencing process to identify and segregate customer overpayments and to maintain appropriate record keeping of these funds, which is limited to those customers who are just on a credit contract
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Committee Governance and Approval	Risk Committee
Stakeholders	UK Compliance Director Operations Director Senior Business Operations Manager
Tier	1
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v2.0	13/01/2022	Senior Compliance Officer	Amended version following external audit and legal advice	Risk Committee approved 13 Jan 2022
v2.1	10/06/2022	Senior Compliance Officer	Updates for the separation of process and procedure documents	Risk Committee approved 10 June 2022
v2.2	22/09/2022	Senior Compliance Officer	Change of policy owner, addition of more detailed funds flow and controls section	Risk Committee approved 22 Sep 2022
v2.3	12/01/2023	UK Managing Director & UK Compliance Manager	Update to policy content - Safeguarding insurance and changes to Safeguarding	Risk Committee approved 12 Jan 2023
v2.4	22/06/2023	Head of UK Compliance	Updated to reflect new processes, primarily BACS unallocated funds and Modulr.	Risk Committee approved 13 July 2023
v2.5	17/01/2024	Head of UK Compliance	Updated to include team responsibilities for safeguarding.	Risk Committee approved 24 January 2024
v2.6	18/10/2024	UK Compliance Director	Updated to include approach to reporting MI and to reference unallocated funds processes	Risk Committee approved 22 October 2024

Documentation <i>(relating policies, procedures and/or documents to be read in conjunction with this document)</i>	
Safeguarding Reconciliation Procedure	Prefunding Document Glossary

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Context

New Wave Capital Limited, trading as Capital on Tap (NWC), based in London, UK, as a regulated Electronic Money (E-Money) Institution is authorised and supervised by the Financial Conduct Authority (FCA).

As an E-Money Institution in the UK NWC is subject to the requirements set out in the Electronic Money Regulations 2011 (EMRs) and the Payment Services Regulations 2017 (PSRs) as well as the FCA's Payment Services and Electronic Money Approach Document and the supplementary Coronavirus and Safeguarding Customer's Funds Guidance. The Approach Document and Guidance together establish that NWC is required to maintain controls which allow for the identification and segregation of E-Money, which is always considered Relevant Funds. Due to its authorisation as an E-Money Institution NWC is also subject to the FCA's new Consumer Duty the requirements of which are set out in the Consumer Duty Policy.

The express purpose of safeguarding relevant funds is to afford protection to the funds in the event of NWC becoming insolvent. If such an event were to occur the funds would be distinguishable to an insolvency practitioner and would be able to be returned to the customer. NWC Safeguards Relevant Funds according to the regulatory safeguarding requirements and ringfences any other monies due to customers which fall outside of the perimeter of Relevant Funds.

Once customers have signed a prefunding e-money addendum, any positive balance (e.g., negative credit balances), regardless of whether it is derived from bank transfer, debit card payment, direct debit, chargeback, refund or any other account adjustment will represent the issuance of e-money.

All e-money is subject to safeguarding obligations. Safeguarding can be done through either: (1) the segregation method; (2) the insurance method, or a combination of the two.

For clarity, any positive balances on customer accounts that have not signed a prefunding e-money addendum (largely as the result of accidental over-payments or refunds) are not considered e-money. They are also not considered to meet the definition of 'relevant funds' and as such do not carry a safeguarding requirement. These positive balances are nonetheless 'ringfenced' as described in this policy.

Customer Funds Protection Policy

1. Scope

This Policy applies only to NWC's activities as defined above and in relation to its business in the United Kingdom. This policy does not apply to New Wave Card Inc in the United States.

2. E-Money safeguarding Account

The E-Money Safeguarding account is held with an appropriate institution as defined by the Approach Document and the relevant regulations. At the time of writing, NWC's Safeguarding Account is held with HSBC. Details of the due diligence process undertaken on HSBC to ensure their suitability as well as ongoing assessments are maintained in line with NWC's Vendor Due Diligence Process, past suitability checks and any future checks as part of due diligence refresh processes or in the event that NWC changes Safeguarding Account provider meet the requirements set out in 10.78 of the FCA's Approach Document.

3. E-Money Safeguarding Process

As set out in the FCA's Approach Document (paragraph 10.59) reconciliations of E-Money accounts should be performed as regularly as necessary to ensure accuracy of NWC's internal accounts and the records against those of third parties.

Relevant Funds which carry a safeguarding obligation are defined as funds received for a NWC customer which has signed an E-Money addendum or contract and which create a positive balance (negative credit balance) on the customer's account - regardless of whether this is derived from bank transfer, direct debit, card payment, refund or any other adjustment. Any funds meeting this definition will be considered relevant funds, will be classified as issued e-money and will require safeguarding as frequently as is reasonably possible.

The credit balance of a prefunding customer represents all notification of receipt of funds, regardless of whether NWC has received a payout from third party intermediaries. This is in line with the regulation (10.29): 'Some institutions may issue e-money, and allow customers to use that e-money to make payment transactions before the customer's funds are credited to the institution's payment account, or are otherwise made available to it.'

The obligation to safeguard starts when NWC are made aware of the successful receipt of relevant funds from a prefunding customer, this represents when NWC has an 'entitlement to funds' (10.28). The safeguarding obligation ends when the e-money is spent through a card transaction clearing or the returning of e-money funds via bank transfer.

NWC calculates, via an automated script, the 'relevant funds' as the the sum of all the negative credit balances for customers on prefunding contracts and store this information (at customer level) in NWC's internal database 5 times per business day at: 08:30, 10:30, 12:30, 14:30 and 16:30. This calculation determines the total amount that needs to be safeguarded to prevent commingling of customer funds with NWC's own monies.

NWC performs reconciliations throughout the business day in line with the E-Money Reconciliation Procedure and Process documents, and moves any Relevant Funds into the Safeguarding Account as required.

On an ongoing basis a report is produced which calculates:

- i. the cumulative value of Relevant Funds NWC's customer accounts;
- ii. the balance held in the Safeguarding account;
- iii. the difference between them.

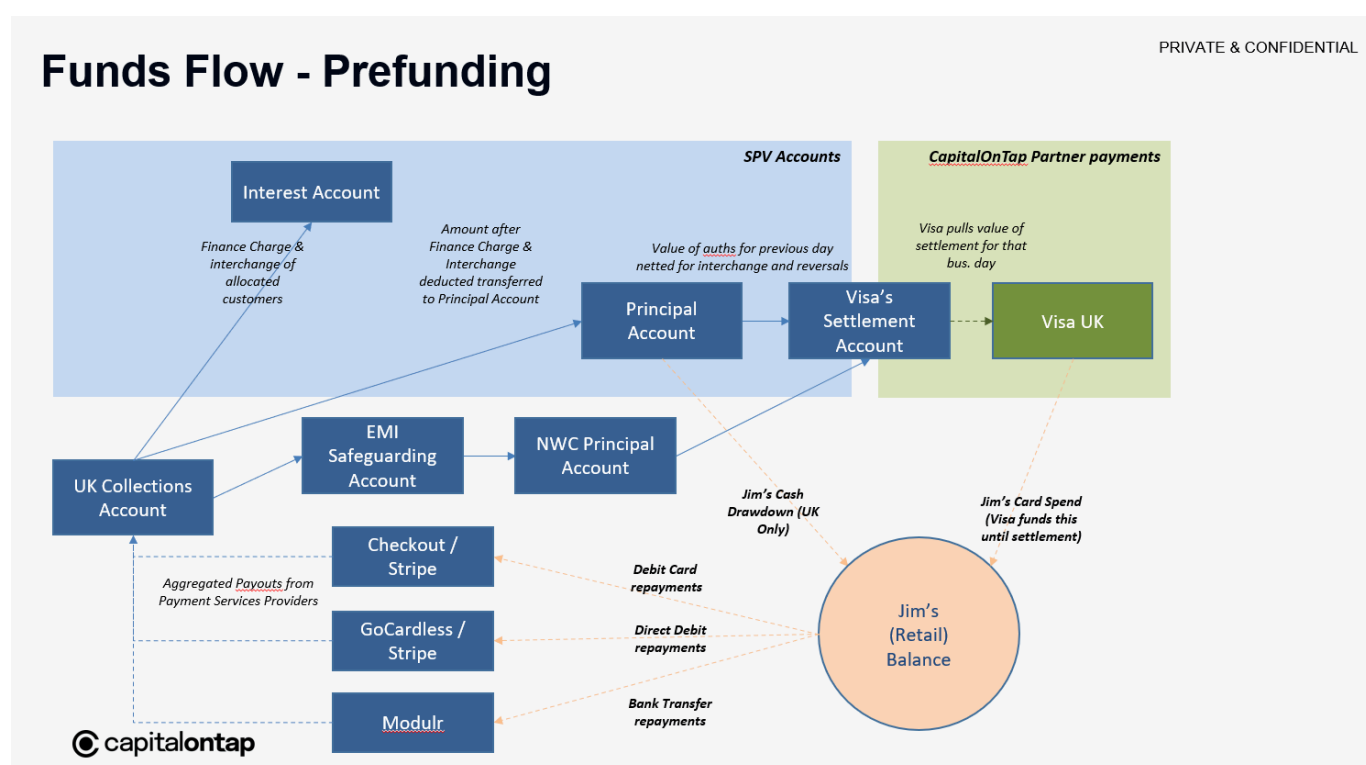
The report reflects NWC's reconciliations and money movements over the course of the business day, an additional Manual Reconciliation is completed at the end of each business day.

The safeguarding process, the subsequent reports and the end of day manual reconciliation are carried out by, and are available to the relevant staff set out in the Safeguarding Reconciliation Procedure / Process.

Where a difference is identified in the course of this process, the amount in the safeguarding account is adjusted to reflect the total cumulative amount. This involves either adding or removing funds from NWC's safeguarding account as described in the Safeguarding Procedures.

4. Flow of Funds

The below diagram details the process by which funds are received from an E-money Customer and are subsequently moved either to the E-Money Safeguarding account or to the NWC Principal Account.



E-Money Customers can make payments to NWC by processing Direct Debit, Debit Card or Bank Transfer (BACS) payments to a virtual bank account provided by a third party provider. Payments made by these routes are applied immediately (generally within seconds of being made) to the customer's account balance and are available for use by the customer from the point of being applied (subject to NWC's fraud, anti-money laundering and spend rules). Where these payments result in a positive balance on an E-Money Customer's account this positive balance is considered issued

E-Money as defined by the EMRs and the FCA's Approach Document, at this point the positive balance also becomes subject to the safeguarding requirements and be identifiable by NWC's Safeguarding processes.

NWC maintains processes around applying funds paid to itself by customers via other means than those outlined above, these processes include the Unallocated Payment Process for identification and resolution of unallocated funds.

5. Ringfencing Account (applies to any monies owed to NWC customers which do not meet the definition of Relevant Funds)

The ringfencing account is held with an appropriate banking institution in the same manner as the Safeguarding account described above, at the time of writing this banking institution is Barclays. Details of the due diligence process undertaken on Barclays to ensure their suitability are contained within NWC's Vendor Due Diligence system.

This account is not used to hold any other funds other than those identified by the Ringfencing Process. Funds that Capital on Tap designates as needing ringfencing are any negative credit balance on a customer account not for the purpose of e-money i.e. from customers on NWC Credit Card Agreements without an e-money contract. These funds are therefore not subject to the Safeguarding requirements or regulation for e-money as detailed in Section 3 above and should not be considered in the same way.

In the event of a difference appearing in the ringfencing account the account will be adjusted to remove the difference at the time of identification.

5.1. Ringfencing Process

A report is produced each business day which calculates:

- i. the cumulative value of positive balances across NWC's customer accounts which are not relevant funds for safeguarding;
- ii. the balance held in the ringfencing account;
- iii. the difference between them.

The report is reviewed once per business day and where a difference is identified the amount in the ringfencing account is adjusted to reflect the total cumulative amount. This involves either adding or removing funds from NWC's "credit customer" bank account.

6. Record Keeping

A record of safeguarding daily reconciliations is stored in local files as detailed in the Safeguarding Reconciliation Procedures.

A record of reports and adjustments for Ringfencing is retained on Looker and on the bank account which is accessible by the Finance Team.

7. Training

NWC will ensure that adequate training measures are taken to ensure that all staff involved in the Ringfencing and Safeguarding Processes understand how to complete those processes.

Safeguarding and Ringfencing training detailing NWC's responsibilities and approaches surrounding the safeguarding of E-Money and ringfencing of any other customer monies will be provided annually to the Senior Management Team, the Finance Team, to Business Operations team and to relevant customer-facing staff.

8. Controls

NWC maintains multiple controls surrounding the safeguarding process, these controls are detailed in greater detail and on an ongoing basis in the Safeguarding Reconciliation Procedure and Processes and include but are not limited to:

- Controls around the performance of reconciliations

- Controls around how to resolve differences caused by balance changes late in a business day.
- Controls around how to resolve differences caused by system issues.
- Controls around the identification of relevant funds outside of business hours.
- Controls around the ongoing accuracy of manual reconciliations.

9. Roles and Responsibilities

Risk Committee

Provides oversight and governance of NWCs safeguarding arrangements. Changes to safeguarding arrangements must be approved by the Risk Committee.

Business Operations

Responsible for moving funds into and out of safeguarding. Escalation point for discrepancies identified as part of a reconciliation.

Operations Team

Responsible for completing end of day reconciliation reports.

Finance Team

Provides assistance in moving funds between Safeguarding accounts and NWC's principle account. Escalation point for data issues with banking counterparties.

IT

Escalation point in the event of data issues between banking counterparties and NWCs internal databases and platforms.

Compliance Team

Provides regulatory advice and oversight on NWCs safeguarding arrangements.
Responsible for completing ongoing compliance monitoring of safeguarding arrangements.

10. External Audit

The FCA has confirmed that it expects firms to arrange for specific annual audits of its compliance with the safeguarding requirements under the Payment Services and E Money Regulations. The annual audit is expected to be carried out by an audit firm as defined in regulation 25(2) of the E Money Regulations or by another independent external firm or consultant.

To meet this expectation NWC will engage with a relevant audit firm to receive annual audits of its safeguarding measures. The audit firm is expected to provide NWC an opinion on:

- Whether NWC has maintained organisational arrangements adequate to enable it to meet the FCA's expectations around its safeguarding responsibilities.
- Whether NWC met those expectations as at the audit period and date.

11. Reporting Responsibility

On an ongoing basis, in each Risk Committee Meeting, Management Information will be produced and provided as a standing item in the meeting materials and will consist of information relating to:

- Amounts of E-Money issued per quarter
- Numbers of E-Money Customers per quarter
- Numbers of reconciliation discrepancies per quarter
- Information on any process changes or improvements
- Information on any upcoming regulatory changes

In the event of a discrepancy arising which cannot be corrected by the above process or through further investigation NWC will consider whether the issue has materially impaired its ability to meet its safeguarding responsibilities and if so, will notify the FCA in writing of the issue.

This reporting responsibility does not apply where the discrepancy arises only due to timing differences between internal and external accounting systems as further described in the procedure and process documents.

12. Changes

Any changes to the safeguarding process will require thorough testing and compliance oversight. These changes would need to get approved by the UK MD and Director of Compliance, as well as the board.

Where changes are determined to be sufficient to require notification to the FCA (for instance a change of safeguarding method) a SUP 15 notification will be made to the FCA with reasonable notice (28 days) ahead of being implemented.

Any changes to NWC's operational arrangements which will affect the allocation of e-money will also be subject to testing with compliance oversight to ensure continued compliance with the Safeguarding Obligations.

External References

- Payment Services and Electronic Money – FCA Approach Document.
As amended November 2021
<https://www.fca.org.uk/publication/finalised-guidance/fca-approach-payment-services-electronic-money-2017.pdf>
- The Electronic Money Regulations 2011:
<https://www.legislation.gov.uk/uksi/2011/99/contents/made>
- The Payment Services Regulations 2017:
<https://www.legislation.gov.uk/uksi/2017/752/contents/made>

Appendix 1 – Definitions of Terms

E-Money Institution - A firm regulated by the Financial Conduct Authority and subject to the E-Money Regulations (EMRs).

Safeguarding - The activity wherein Relevant Funds are either placed in a separate account from the institution's working capital and other funds or are covered by an appropriate insurance policy or comparable guarantee. On the insolvency of an institution, claims of e-money holders or payment service users are paid from the asset pool formed from these funds in priority to all other creditors (other than in respect of the costs of distributing the asset pool).

Relevant Funds - Any funds received for a NWC customer who has agreed an E-Money Contract which creates a positive balance (negative credit balance) on the customer's account.

Ringfencing – the process through which non-relevant funds which are owed to our customers are segregated and protected for their benefit.